PATTERN GROUP INC PTRN S

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by zipper

			2026	2027
Price:	29.00	EPS	0	0
Shares Out. (in M):	22	P/E	0	0
Market Cap (in $M):	6,400	P/FCF	0	0
Net Debt (in $M):	-300	EBIT	0	0
TEV (in $M):	6	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

The short thesis on Pattern Group is not dissimilar to my other recent writeups. No smoking gun, no slamma jamma deathblow. Just a fragile consumer business that is likely to underperform good businesses you might own on the long side … if you give it enough time. You might get squeezed in the near-term, but I think it should underperform in the long run.

Basic Thesis

PTRN lacks a core competency that is valuable or defensible enough to justify its share price. They're basically an outsourced channel management business with a challenging business model, high concentration risk and limited growth outside of its key category. They probably have no real product expertise, minimal technology differentiation, and they are probably on the wrong side of agentic shopping. You could think of them as a combined advertising + distribution business since they actually buy inventory from customers, but one without scale.

What is PTRN?

They are an eCommerce accelerator that partners with product brands to sell onto global eCommerce marketplaces, mainly Amazon. They assist their brand partners with everything from creative to pricing to customer service, essentially tapping incremental markets for them and/or serving as the outsourced e-Com team.

They are a relatively capital light operator despite operating leased distribution centers and buying inventory from clients to sell at risk. They appear to achieve this through a high inventory turnover ratio (~10x).

At the end of the day, PTRN is only as good as their ability to sell through the products of the more than 200+ brand partners that they work with. Thus, they pride themselves on their data and AI platform capabilities.

Challenges of Concentration

Over 90% of sales are through the Amazon marketplace, where they are the largest 3rd party Amazon retailer. Nevertheless, this is still not scaled enough to exert any real advantage when considering how massive the channel counterparty is. Expansion onto Walmart, TikTok, Coupang and other marketplaces is ongoing.

More than 60% of sales are in the health & wellness category.

They have high brand partner concentration, with two brand partners in health & wellness accounting for 17% each of inventory purchases in 2025.

Challenges in Category Expansion

Since PTRN is not a retail distribution channel and sits between their brand partners and the actual retail channel, they can only really serve product categories where there is an adequate profit pool after the eCommerce take rate is applied and the wholesale price is paid. Per former employees, they have a very challenging time making broader categories work such as shoes or clothing, despite a partnership with Authentic Brands and various projects with apparel brands. They are probably relegated to non-essential discretionary goods. You can conveniently browse on their Amazon seller page the random collection of things they sell:

https://www.amazon.com/sp?ie=UTF8&seller=A2O5KH22APDXN1

Challenges in Inventory Management

In addition to health & wellness being a sensible category due to the higher margin profile, the company is a subscale logistics operator that benefits from the small shelf footprint of the supplements business it mainly handles. Logistics can be an incredible differentiator, but is one that requires scaled and ongoing investment which is not PTRN.

Apparently, compact items like bottles that are easy to scan/handle work best, but other product form factors are more difficult. The company attempted to build its own branded business at one point and apparently did not succeed.

Technology Advantage?

No doubt there is a decent data analytics/machine learning engine driving their sales and marketing, but really how differentiated and how durable is it?

One of the most reliable ways to understand tech advantage is to look at R&D investment. PTRN R&D is $46 mm = 2% of revenue and 4% of gross margin versus technology-heavy platforms regularly spending 10-20% of revenue on R&D.

Then check out their employee base of 2,300 FTEs and 420 contractors. Expert calls also corroborate a high human component to onboarding clients.

AI Winner or Loser?

While the company talks highly about their AI capabilities, it's hard to imagine how the transition to agentic shopping and agentic search could be good for PTRN. AI tools offered by Google/Meta/Amazon hold the promise of full service marketing automation and AI coding allows partners to build excellent marketing tools and UIs themselves. This should directly infring on PTRN's core value add.

GEO discovery might be an area where there will be a window of opportunity for nimble consultants to be a river guide, but it's hardly sustainable as it will be commoditized the same way as SEO was.

Potential Pitfalls

There's no fatal flaw here to call out. No clear fraud. Stock is ripping on momentum, rotation into consumer stocks and a big squeeze post-earnings.

The company has had reasonable success doing what it has done. Usually retailers don't report NRR, but this is a tech company after all? In any case, 127% NRR that has accelerated YoY suggests they could be doing something right.

Nevertheless, I believe there are numerous ways things could go wrong because they really have no control over brand, product or channel:

- Amazon policy, take rate or design changes – obviously PTRN is complement at the mercy of AMZN algorithm changes
- Quality, brand or service issues at partners – again, acting as the middleman only, they have no control if things go wrong with their best selling products
- AI risk - as discussed above, it is not clear they are well positioned to cross the chasm
- Thin margins and cash flow - EBITDA margins are ok in the range of 5% and free cash flow is slightly positive despite working capital build given their growth (though SBC wipes it all out if included). It kind of looks like a basic retailer, except they have very little control and does not possess a large margin of safety to lean on if things go wrong.
- There really is no public comp exactly like PTRN, but the history of businesses like this is not good. Think about a diverse bunch of businesses that share similarities and it's hard to come up with durable success stories: Farfetch, Global-E, brand rollups like Authentic Brands or Helen of Troy, S4, BigCommerce, Wish or private eCommerce aggregators, etc. Perhaps there are some that worked really well which I have not thought about worth considering?

Valuation

Goldman's valuation methodology highlights what you need to believe for the valuation to make sense:

> Our $27 (from $23 prior), 12-month price target is based on an equal blend of: (1) EV/GAAP EBITDA applied to our NTM +1 estimates; and (2) a modified DCF using an EV/FCF-SBC multiple applied to our NTM +4 estimates discounted back 3 years. Specifically:
>
> - 22.0x EV/GAAP EBITDA (from 24.0x prior) applied to our NTM +1 estimate. We lower our forward multiple on the back of broader industry rerating dynamics.
> - 28.0x EV/FCF-SBC multiple (from 30.0x prior) applied to our NTM +4 estimates discounted back 3 years at 12%. We lower our absolute multiple to maintain a growth adjusted EV/FCF-SBC to growth multiple of ~1.1x. The discount rate represents CAPM using the blended average of companies within our coverage universe consisting of: (1) 3% risk free rate (based on the normalized 10-year rate); (2) average beta of ~1.3; (3) equity risk premium of 7%.

This is not some fast growing software business with sustainably high margin and growth. This is a bodyshop with a lot of employees. Assuming it achieves '28 EBITDA estimates, it is trading at 20x, which still seems high even growth is sustainable. Given the fragility of the business, I think there's more than a good chance EBITDA does not get anywhere near consensus and even goes backwards.

But maybe it does? For the sake of the writeup, let's say at least 50% downside seems to be a reasonable estimate for this low margin business even if it hits its targets. If its margin profile keeps expanding, it would be a different story. However, I think the chances this model is actually scalable are low.

Insiders Exiting

PE firm backing PTRN exited about ⅓ of their shareholders at $18 recently.

Selected Risks

Health & wellness sector is hot

A partner brand could hit it big

Diversification might work

“AI winner” meme

Marketplace algorithms can cut both ways

High inside ownership (>60% of economic ownership and >80% voting ownership)

High short interest (10% as of June)

Metrics are not yet deteriorating

Price discovery in this market is broken

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Catalyst

Brownian motion and the laws of thermodynamics?

Messages

No messages